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15 August 2025

Subject Management's Discussion and Analysis of Financial Performance and Results of Operations For the three-month and six-month periods ended 30 June 2025

To The President
The Stock Exchange of Thailand

Praram 9 Hospital Public Company Limited (the "Company") would like to report management's discussion and analysis of financial performance and results of operations for three-month and six-month periods ended 30 June 2025 as follows:

Summary

In the second quarter of 2025, the Company continued to maintain the growth of its operating results in both revenue and profit when compared to the same period of the prior year. This success is the result of implementing a strategy focused on expanding the foreign patient base, especially the patient group from the Middle East who require specialized medical services and complex disease treatments. The Company is well-equipped in terms of its expert medical teams, technology, and modern treatment innovations at reasonable prices.

Furthermore, the Company continues to develop the efficiency of its internal operations in an ongoing manner, including cost management and the use of technology to uplift quality of services, which positively contributes to the Company's sustainable profitability.

For the operating results of the second quarter of 2025, the Company had total revenues of Baht 1,296.4 million, an increase of 18.1 percent from Baht 1,097.5 million in the second quarter of 2024. The net profit for the period was Baht 182.0 million, or a net profit margin of 14.0 percent, which is an increase of 30.8 percent from Baht 139.1 million, or a 12.7 percent net profit margin, in the second quarter of 2024.

For the six-month period ended June 30, 2025, the Company had total revenues of Baht 2,547.6 million, an increase of 17.0 percent from Baht 2,178.1 million for the six-month period ended June 30, 2024. The net profit for the period was Baht 382.5 million, or a net profit margin of 15.0 percent, which is an increase of 28.3 percent from Baht 298.1 million, or a 13.7 percent net profit margin, in the second quarter of 2024.

Statement of comprehensive income

1. Quarterly Operational Results

Revenues (Million Baht)	Three-month period ended 30 June		Changed (%)	Proportion	
	2025	2024		2025	2024
Medical revenues from Out-Patient (OPD)	689.6	650.8	+5.9	53%	59%
Medical revenues from In-Patient (IPD)	587.5	432.9	+35.8	45%	40%
Total Medical revenues	1,277.1	1,083.7	+17.9	98%	99%
Rental and other income	19.3	13.8	+38.7	2%	1%
Total Revenues	1,296.4	1,097.5	+18.1	100%	100%

Medical revenues breakdown by category as follow:

	Three-month period ended 30 June		Changed	Proportion	
(Million Baht)	2025	2024	(%)	2025	2024
Medical revenues by Nationality					
Thai	935.7	920.4	+1.7	73%	85%
International	341.4	163.3	+109.0	27%	15%
Total Medical revenues	1,277.1	1,083.7	+17.9	100%	100%
Medical revenues by Payment method					
Self-Pay	798.9	753.0	+6.1	63%	69%
Insurance	293.3	283.3	+3.5	23%	26%
Corporate Contract	184.9	47.4	+290.1	14%	5%
Total Medical revenues	1,277.1	1,083.7	+17.9	100%	100%

For the second quarter of 2025, the Company's hospital revenue was Baht 1,277.1 million, an increase of 17.9 percent from Baht 1,083.7 million in the second quarter of 2024. Revenue from Out-Patient (OPD) services increased by 5.9 percent, while revenue from In-Patient (IPD) services increased by 35.8 percent compared to the same period of the previous year. This was a result of company's capability to treat more complex diseases, resulting from the readiness of the medical team, personnel, and medical equipment, resulting in an increase in both outpatient and inpatient numbers.

Revenue from international patients grew significantly by 109.0 percent compared to the same period of the previous year, with the main driver being 'Fly-in' patients from the Middle East. This resulted to the proportion of revenue from international patients increasing to 27 percent of hospital revenue, while revenue from Thai patients increased by 1.7 percent, accounting for 73 percent of hospital revenue.

If considering by payment method, revenue from corporate contract patients grew dramatically by 290.1 percent, largely from international patients, specifically from the Middle East. Meanwhile, revenue from self-pay patients gradually grew by 6.1 percent, resulting from the success of hospital's marketing & public relations mechanisms. Revenue from health insurance patients grew by 3.5 percent, a result of continual co-marketing with insurance companies.

Cost of Hospital Operations and Expenses (Million Baht)	Three-month period ended 30 June		Changed (%)
	2025	2024	
Cost of hospital operations	812.0	733.3	+10.7
As % of medical revenues	63.6	67.7	
Selling and administrative expenses	268.2	203.8	+31.6
As % of total revenues	20.7	18.6	

For the second quarter of 2025, the Company reported cost of hospital operations (including depreciation and amortization) of Baht 812.0 million, which is equivalent to 63.6 percent of medical revenue. Meanwhile, cost of hospital operations (including depreciation and amortization) for the second quarter of 2024 was Baht 733.3 million, or 67.7 percent of medical revenue. The decrease in the cost of hospital operations as a percentage of medical revenue was a result of process improvements that led to more efficiency, expense reduction, increase in economy of scale which caused cost-to-revenue ratio declined.

Regarding selling and administrative expenses (including depreciation and amortization), the Company reported selling and administrative expenses of Baht 268.2 million for the second quarter of 2025, or 20.7 percent of total revenue. Meanwhile, selling and administrative expenses (including depreciation and amortization) were Baht 203.8 million for the second quarter of 2024, or 18.6 percent of total revenue. The increase in expenses were mainly from sales promotion and advertising expenses to create brand awareness among both Thai and international markets which aligned with company's strategy to expanding through international markets. Other expenses which also moved total administrative expenses up were asset impairment and customer facilitation cost. The Company planned to expand our scope of services and accommodate more patients. Current utilization rate nearly reached our maximum capacity thus, the Company decided to renovate some part of existing building structure to serve more patients, resulting to asset impairment realization. Regarding customer facilitation cost, the company provided transportation between airport and hospital or hospital and the follower's hotel to create patient's satisfaction and words of mouth.

Net Profit (Million Baht)	Three-month period ended 30 June		Changed (%)
	2025	2024	
Operating profit	216.2	160.4	+34.8
Depreciation and amortization	76.4	75.7	+0.9
EBITDA	292.6	236.1	+2.9
EBITDA Margin (%)	22.6	21.5	
Finance income	14.4	12.4	+16.0
Finance cost	(0.1)	(0.1)	-11.1
Income tax expenses	(48.4)	(33.5)	+44.4
Profit for the period	182.0	139.1	+30.8
Net profit margin (%)	14.0	12.7	
Total comprehensive income for the period	182.0	139.1	
Weighted average number of ordinary shares (Share)	786,300,000	786,300,000	
Basic earnings per share (Baht)	0.23	0.18	

2. Six-month Period Operational Results

Revenues (Million Baht)	Six-month period ended 30 June		Changed (%)	Proportion	
	2025	2024		2025	2024
Medical revenues from Out-Patient (OPD)	1,354.9	1,288.1	+5.2	53%	59%
Medical revenues from In-Patient (IPD)	1,161.2	866.3	+34.0	46%	40%
Total Medical revenues	2,516.1	2,154.4	+16.8	99%	99%
Rental and other income	31.5	23.6	+33.1	1%	1%
Total Revenues	2,547.6	2,178.0	+17.0	100%	100%

Medical revenues breakdown by category as follow :

	Six-month period ended 30 June		Changed	Proportion	
(Million Baht)	2025	2024	(%)	2025	2024
Medical revenues by Nationality					
Thai	1,870.9	1,829.5	+2.3	74%	85%
International	645.2	324.9	+98.6	26%	15%
Total Medical revenues	2,516.1	2,154.4	+16.8	100%	100%
Medical revenues by Payment method					
Self-Pay	1,570.8	1,479.3	+6.2	62%	69%
Insurance	618.3	576.7	+7.2	25%	27%
Corporate Contract	327.1	98.4	+232.4	13%	4%
Total Medical revenues	2,516.1	2,154.4	+16.8	100%	100%

For the six-month period ended June 30, 2025, the Company's medical revenue was Baht 2,516.1 million, an increase of 16.8 percent compared to the same period of the previous year. This growth was supported by increases in revenue from both In-Patient (IPD) and Out-Patient (OPD) services, especially revenue from In-Patient (IPD) group which grew strongly by 34.0 percent, while revenue from the Out-Patient (OPD) group increased by 5.2 percent.

If considering by nationality, revenue from international patients grew outstandingly by 98.6 percent, which aligns with the company's strategy to expand international patient base. Revenue from Thai patients grew by 2.3 percent. The high growth in the international patients resulted in a change in the revenue mix, with the proportion of revenue from international patients increasing to 26 percent, while Thai patients accounted for 74 percent of medical revenue.

If considering by payment method, it was found that revenue from corporate contract patients had the highest growth at 232.4 percent, mainly from the increase of international patients, specifically from the Middle East. While revenue from self-pay and health insurance patients also grew continuously, by 6.2 percent and 7.2 percent, respectively. This resulted in the proportion of revenue from corporate contract patients increasing to 13 percent of medical revenue.

Cost of Hospital Operations and Expenses <i>(Million Baht)</i>	Six-month period ended 30 June		Changed (%)
	2025	2024	
Cost of hospital operations	1,596.7	1,447.9	+10.3
As % of medical revenues	63.5	67.2	
Selling and administrative expenses	495.7	385.5	+28.6
As % of total revenues	19.5	17.7	

For the six-month period of 2025, the Company reported a cost of hospital operations (including depreciation and amortization) of Baht 1,596.7 million, equivalent to 63.5 percent of medical revenue. Meanwhile, the Company reported cost of hospital operations (including depreciation and amortization) of Baht 1,447.9 million, or 67.2 percent of medical revenue for the six-month period of 2024. The reasons behind this decrease are same as the reasons that were described in three-month period performance which are process improvement, increase in economy of scale.

For the six-month period of 2025, the Company reported selling and administrative expenses (including depreciation and amortization) of Baht 495.7 million, or 19.5 percent of total revenue. Meanwhile, the Company reported selling and administrative expenses (including depreciation and amortization) of Baht 385.5 million, or 17.7 percent of total revenue. The reasons behind this increase are same as the reasons that were described in three-month period performance which are sales promotion and advertising expenses to create brand awareness among both Thai and international markets, asset impairment to expand scope of services and accommodate more patients. Meanwhile, the provision for bad debt decreased due to better debt collection.

Net Profit <i>(Million Baht)</i>	Six-month period ended 30 June		Changed (%)
	2025	2024	
Operating profit	455.2	344.7	+32.1
Depreciation and amortization	152.4	150.4	+1.3
EBITDA	607.6	495.1	+22.7
<i>EBITDA Margin (%)</i>	23.8	22.7	
Finance income	28.0	25.0	+12.2
Finance cost	(0.2)	(0.3)	-30.3
Income tax expenses	(100.6)	(71.3)	+41.2
Profit for the period	382.4	298.1	+28.3
<i>Net profit margin (%)</i>	15.0	13.7	
Total comprehensive income for the period	382.4	298.1	
Weighted average number of ordinary shares (Share)	786,300,000	786,300,000	
Basic earnings per share (Baht)	0.49	0.38	

Statement of Financial Position

(Million Baht)	As of 30 Jun 2025	As of 31 Dec 2024	Changed (%)
Current assets	3,005.4	2,657.5	+13.1%
Non-current assets	3,642.5	3,741.6	-2.6%
Total assets	6,647.9	6,399.1	+3.9%
Current liabilities	808.6	757.7	+6.7%
Non-current liabilities	214.9	202.8	+6.0%
Total liabilities	1,023.5	960.6	+6.6%
Total shareholders' equity	5,624.4	5,438.5	+3.4%
Total liabilities and shareholders' equity	6,647.9	6,399.1	+3.9%

1. Assets

As of 30 June 2025, the Company reported current assets of Baht 3,005.4 million, an increase of 13.1 percent from Baht 2,657.5 million as of 31 December 2024. The majority of current assets consisted of cash and cash equivalents totaling Baht 810.8 million, other current financial assets Baht 1,811.9 million. The Company allocated cash surplus to various financial assets to gain higher returns than short-term deposits with commercial banks which consisted of fixed deposit at banks, Corporate Bonds and unit trust in open-end mutual funds.

As of 30 June 2025, the Company reported non-current assets of Baht 3,642.5 million, a decrease of 2.6 percent from Baht 3,741.6 million as of 31 December 2024. This was from fixed deposit at banks due its maturity.

2. Liabilities

As of 30 June 2025, the Company reported current liabilities of Baht 808.6 million, an increase of 6.7% compared to Baht 757.7 million as of 31 December 2024. This was mainly from an increase in trade payable and income tax payable due to an increase in revenue and net profit.

As of 30 June 2025, the Company reported non-current liabilities of Baht 214.9 million, an increased of 6.0% compared to Baht 202.8 million as of 31 December 2024. This was mainly from an increase of provision for employee benefit which were calculated by actuary.

3. Shareholders' equity

As of 30 June 2025, the Company reported shareholders' equity of Baht 5,624.4 million, an increased of 3.4% compared to Baht 5,438.5 million as of 31 December 2024. This was due to an increase in total comprehensive income for the six-month period ended 30 June of 2025 of Baht 382.4 million offset with dividend payment of Baht 196.6 million.

Cash flow statement

Cash flow statement	Six-month period ended 30 June	
(Million Baht)	2025	2024
Cash flows from operating activities	610.6	477.0
Cash flows used in investing activities	4.3	(1,028.8)
Cash flows used in financing activities	(198.9)	(237.0)
Net increase (decrease) in cash and cash equivalents	416.0	(788.9)

For the six-month period ended 30 June 2025, the Company reported cash flows from operating activities of Baht 610.6 million, an increase of Baht 133.6 million compared to the same period of 2024, which reported cash flows from operating activities of Baht 477.0 million was mainly from an increment of net operating profit.

For the six-month period ended 30 June 2025, the Company reported cash flows used in investing activities of Baht 4.3 million. The majority investment during the period consisted of an investment in debt instruments totaling Baht 350.0 million to gain higher returns than deposits with commercial banks. In addition, the Company had cash received from sales of debt instruments and from maturity of fixed deposit at bank totaling Baht 515.6 million while receiving interest income Baht 35.7 million. The Company made payment on fix asset acquisition including cash advance for purchase of fixed assets was made during the period totaling Baht 196.5 million.

For the six-month period ended 30 June 2025, the Company reported cash flows used in financing activities of Baht 198.9 million due to dividend payment and payment of principal of lease liabilities, compared to the same period of last year which reported cash flows used in financing activities of Baht 233.7 million.

Key Financial Ratios		Six-month period ended 30 June	
		2025	2024
Liquidity Ratio			
Current ratio	(Time)	3.7	3.7
Average collection period	(Day)	21.2	22.1
Average days sales of inventory	(Day)	6.3	6.0
Average account payables days	(Day)	24.0	20.1
Cash cycle	(Day)	3.5	8.0
Profitability Ratio			
Gross profit margin	(%)	36.5	32.8
Net profit margin	(%)	15.0	13.7
Return on average shareholders' equity *	(%)	14.8	12.7
Return on average assets*	(%)	12.7	10.9
Financial Policy Ratio			
Debt to equity ratio	(Time)	0.2	0.2
Interest bearing debt to equity ratio	(Time)	-	-

Remark * The information from financial statements adjusted to fully annualized numbers by using the numbers in the current period plus the previous 6 months period financial information.

Please be informed accordingly,

Yours sincerely,

Praram 9 Hospital Public Company Limited

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Satian Pooprasert, M.D.

Chief Executive Officer